



CEO and Senior Executive Compensation in Private Companies 2024-25

EXECUTIVE SUMMARY

About the Research

Chief Executive Research surveyed 1,534 companies in March through July of 2024 about their senior executive compensation levels and practices for the 2023 fiscal year, their current and expected compensation levels for 2024 and their best forecast on compensation across all levels of the organization for 2025.

As a survey respondent, you are entitled to this executive summary of our findings and a \$1,600 credit (valid until May 1st, 2025) to purchase both the comprehensive 2024-25 and 2025-26 CEO & Senior Executive Compensation Report for Private U.S. Companies. [You can purchase the upcoming report here.](#) The report includes the complete set of data, presented across more than 700 charts and analyses. While most data sources on CEO compensation focus on large public companies, our research brings real-world insight into the compensation of CEOs and senior executives of the approximately 8 million private companies in the U.S., not just the S&P 500, offering much more relevant benchmarks for your organization.

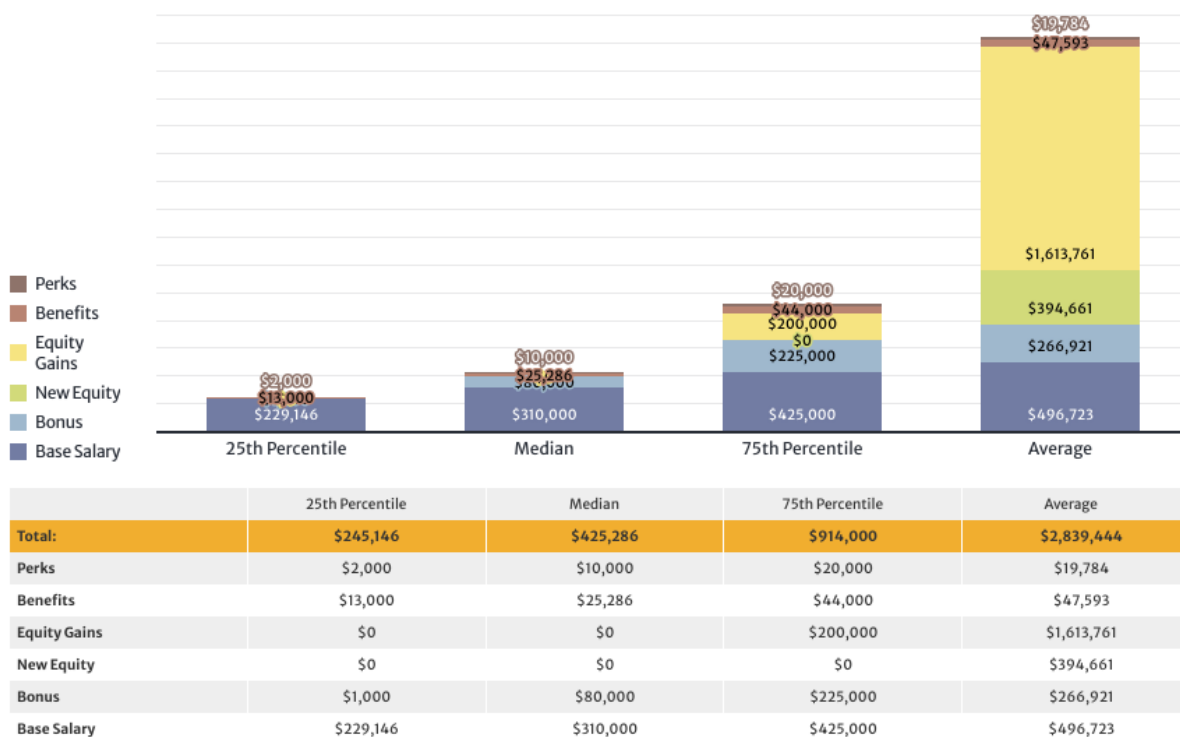
The report provides detailed data about compensation packages for CEOs and eight other senior executive positions—presidents, COOs, CFOs, CMOs, CSOs, CIOs, heads of R&D and CHROs—their salaries, bonuses, equity/long term incentives, benefits and perks and how they vary by company size, industry, region, ownership type and level of profitability, among other factors, as well as comprehensive information about companies' compensation practices. What follows are some of the key highlights from the research.

2023 CEO Compensation

The average private company's CEO total compensation package for 2023 was \$2,839,444, skewed by large equity gains among the top 10 percent, but the median was a more modest \$425,286. These figures include base salary, bonus, equity appreciation, new equity/option grants, benefits and perquisites.

As one would expect, the average total compensation figure is significantly higher than the median total compensation because CEOs at the largest private companies have pay packages substantially greater than those of smaller companies and a few extraordinary compensation packages skew the average.

Private Company CEO 2023 Total Compensation



Source: CEO & Senior Executive Compensation Report for Private Companies, Chief Executive Group, CompReport.ChiefExecutive.net

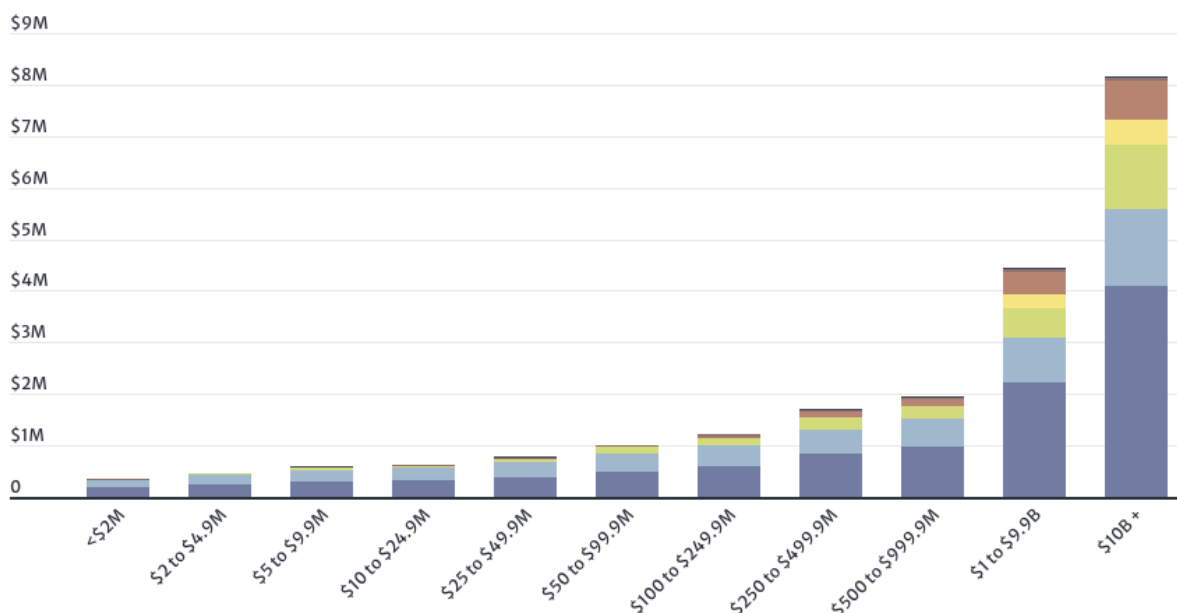
For that reason, the median figure provides a much more accurate view of CEO compensation. In 2023, the median CEO cash compensation (base salary and bonus) was \$390,000—91.7 percent of the total compensation package—and the “at risk” portion (i.e., bonuses and incentives) was \$80,000, or 25.8 percent of the base salary. This represents a change of +3.3 percent to the median CEO base salary from 2022, and a 2.8 percent increase to the median CEO bonus, after a drop in the CEO bonus in 2022.

While the median equity didn’t appreciate in 2023, CEOs owned approx. 9 percent of their company’s equity in 2023, for a value of \$1,500,000, so still had a significant amount of “skin in the game” and alignment with the company’s long-term success. Top-quartile CEOs enjoyed a \$200,000 increase in their equity value in 2023 and started 2024 with a \$5,200,000 equity stake.

CEO Compensation Is Highly Correlated with Company Size

Private company CEO compensation is heavily correlated with the size of the company, both in terms of revenue (as the next chart demonstrates) and number of employees. The larger and more complex an organization, the more substantial the compensation package provided to the CEO. The mix between base salary and at-risk compensation (bonuses and incentives) also shifts drastically by size of company (as well as by other variables such as industry and type of ownership).

Total Private Company CEO 2023 Median Compensation By Company Revenue



Source: CEO & Senior Executive Compensation Report for Private Companies, Chief Executive Group, [Compreport.ChiefExecutive.net](https://compreport.chiefexecutive.net)

For example, while median 2023 total CEO compensation was \$177,000 for companies with less than \$2M in annual revenues, it was \$315,500 (78 percent higher) for companies with revenues of \$10M to 24.9M, \$608,364 for companies with \$100M to 249.9M (243 percent higher) and \$2,219,348 for companies with \$1 to \$9.9B in revenues (1,153 percent higher).

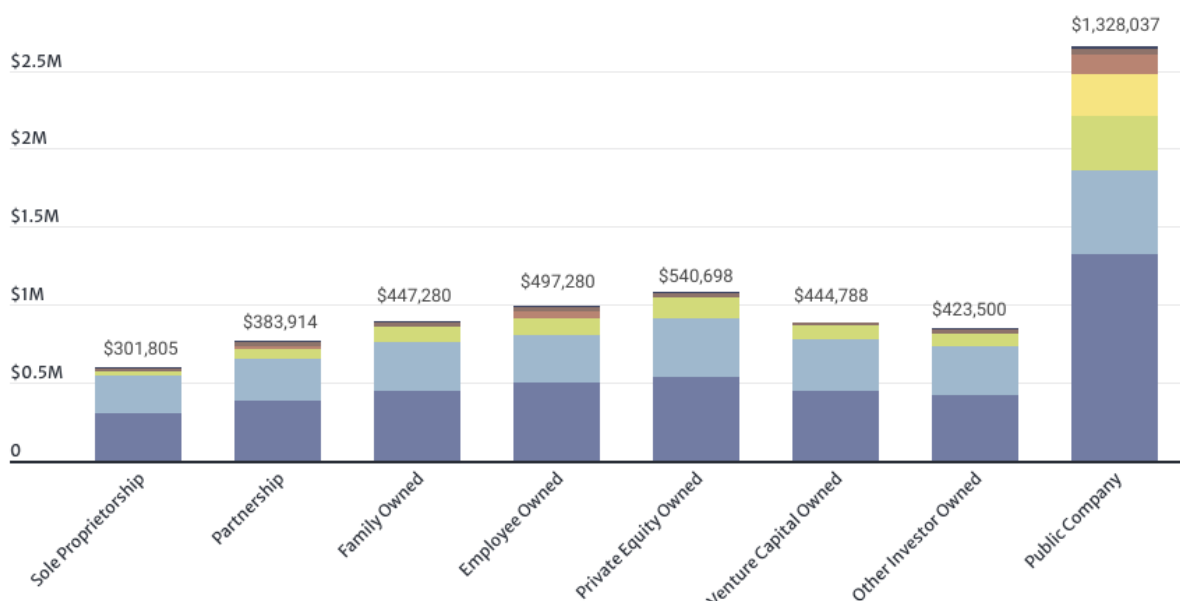
CEO Compensation Also Varies by Ownership Type

There are various private company ownership types: sole proprietorships, partnerships, family businesses, employee-owned organizations, private-equity and

venture-capital-backed companies, as well as companies owned by private groups of outside investors (e.g., angel investors). CEO compensation differs substantially based on ownership type.

We included public companies in the ownership comparison below to show how these companies compare to the various types of privately held companies, but public companies are not included in the other data sets unless otherwise expressly noted.

Total Private Company CEO 2023 Median Compensation By Ownership Type



Source: CEO & Senior Executive Compensation Report for Private Companies, Chief Executive Group, [Compreport.ChiefExecutive.net](https://compreport.chiefexecutive.net)

CEOs of VC-owned companies often have among the highest total compensation packages of privately owned companies, due largely to gains on their equity. As VC capital raising slowed for most sectors and uncertainty persisted, however, the median total compensation package for VC-backed CEOs was less than those at ESOPs (employee-owned companies), which tend to have more stable compensation plans. Meanwhile, Private Equity-backed CEOs again earned the highest compensation package among privately held companies in 2023 due to generous median base salary and bonus packages.

While the differentials between the compensation packages at different ownership types are significant, some of this difference is also attributable to average company size by ownership type and industry mix (e.g., more SaaS and biotech companies among VC-owned

companies, while PE-backed firms tend to have higher revenues). The 2024-25 report breaks out compensation of CEOs at the various ownership types by company revenue and shows, for example, that the base salary of CEOs that run sole proprietorships with revenues between \$100 to \$999.9 million was higher than that of their PE-backed counterparts. This further illustrates the material significance of company size in CEO compensation.

CEO Compensation by Industry

As expected, there are also significant differences in CEO compensation when looking at the numbers by industry: Financial services CEOs earned the highest median total compensation package in 2023. More specifically, the median financial services CEO earned 9.8 percent more than the median energy CEO, who had the highest median total compensation in 2022. This was due to a generous median base salary of \$390,500 and a large median bonus of \$168,480 for finance industry CEOs given the good year for the financial markets.

Other noteworthy industries included construction and pharma/bio. The median CEO of a pharma/bio company enjoyed a significant bonus of \$125,000 and new equity of \$55,000, while the median construction CEO received substantial base salary and bonus totaling \$400,000—as well as healthy equity gains of \$75,000.

Similar to what we observe with ownership types, some of the variances by industry are driven by differences in median company revenue. For instance, in companies with \$10 to \$99.9 million in revenues, pharma/bio CEOs had the highest median total compensation packages—40 percent more than their financial services peers. The full report provides compensation details for CEOs in 21 industries as well as CEO salary levels and expected bonuses for 2024 across multiple dimensions.

Senior Executive Compensation

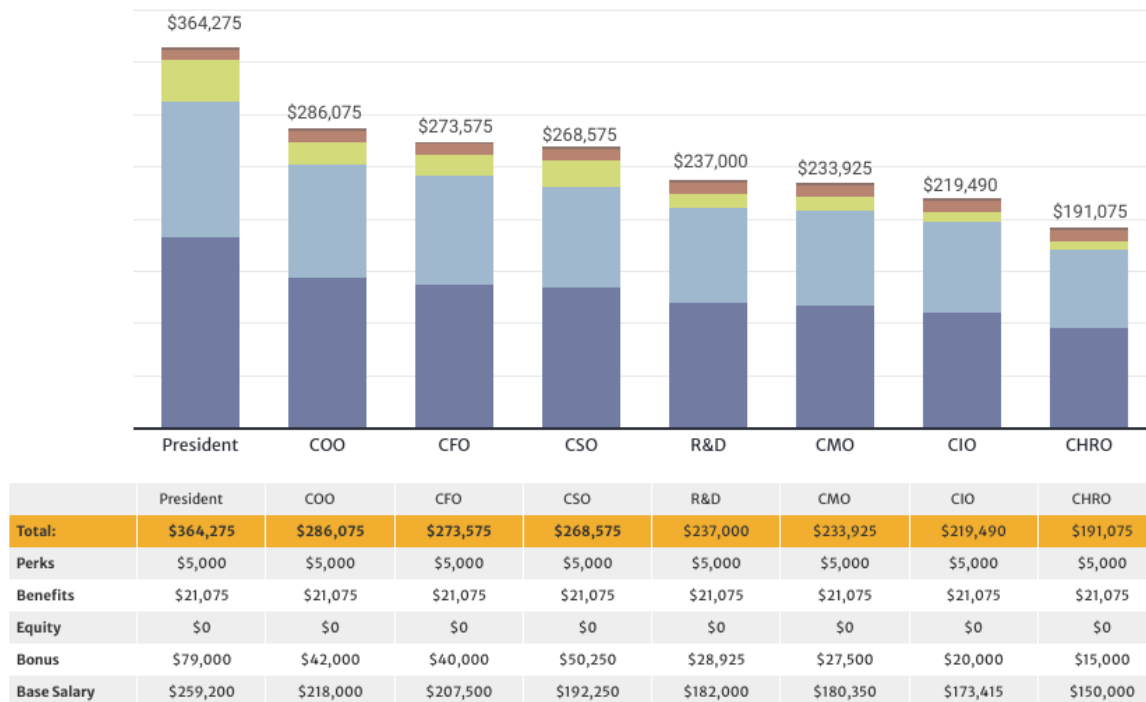
C-Suite compensation varies by job title and areas of responsibility. After the CEO, the most highly compensated senior executive position in private companies is the President, with a median total compensation package of \$364,275 in 2023, followed by the Senior Operations Officer (COO), with a median total compensation package of \$286,075.

As with CEO compensation, there are significant variations in senior executive compensation based on company size, industry, ownership type, growth rate, profitability, region and labor market. For example, CIOs in the Mid-Atlantic region earned more than their peers elsewhere in the U.S.—and around 13.9 percent more than their peers in the West North Central region, the group with the lowest level of compensation again in 2023.

However, geographic region has begun to play a smaller role in determining executive compensation, as executive talent is highly mobile, especially post Covid.

The chart below highlights the overall compensation for each senior executive title, across the different components of the pay package, and the complete breakdown of how different factors affect their compensation is available in Volume 2 of the report.

Private Company Senior Executive 2023 Median Compensation

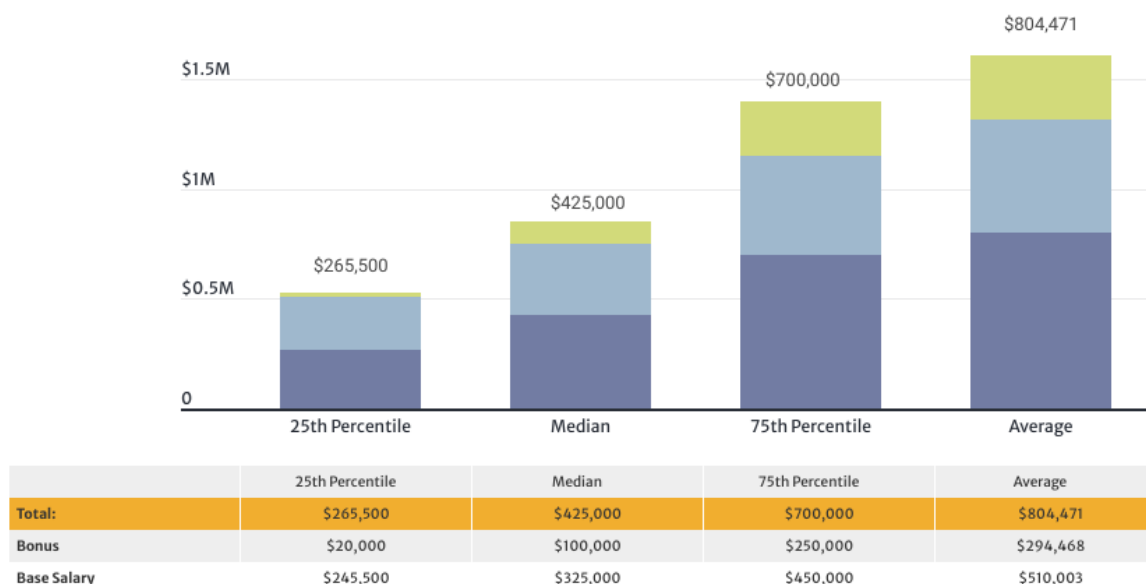


Source: CEO & Senior Executive Compensation Report for Private Companies, Chief Executive Group, CompReport.ChiefExecutive.net

2024 Cash Compensation

The median total expected CEO cash compensation in 2024 is \$425,000—\$325,000 in base salary, up 4.8 percent from the year prior, and an expected bonus of \$100,00, up 13 percent from their 2023 payout, a particularly challenging year for hitting profit milestones. At the top-quartile, CEO base salary is up 5.8 percent to \$450,000, with an expected bonus of \$250,000, up 11 percent from the 2023 payout.

Private Company CEO 2024 Cash Compensation



Source: CEO & Senior Executive Compensation Report for Private Companies, Chief Executive Group, CompReport.ChiefExecutive.net



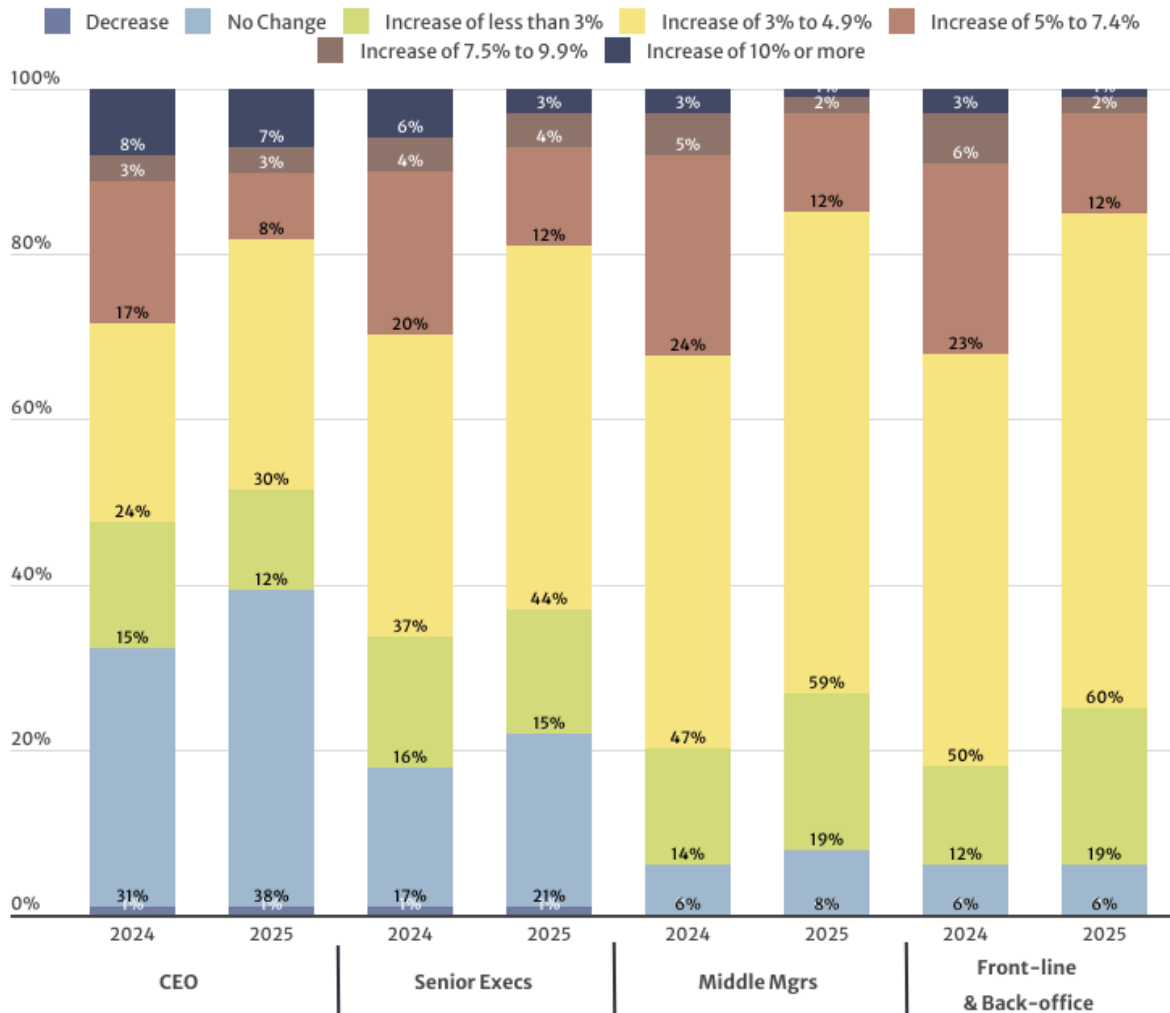
We saw similar trends for other senior executives—modest salary increases at the median (3 percent to 4 percent) and expected salary increases of 4 percent to 6 percent at the 75th percentile. Bonus expectations for 2024 (which are typically finalized and paid out in the first quarter of 2025) are up for all senior executive positions at the median and 75th percentile, with larger increases in select industries such as architecture/engineering, financial services, pharma/biotechnology and other sectors.

Forecasts for 2025

The 2024-25 report includes a complimentary bonus report detailing how the cash compensation of CEOs, senior executives, middle managers and front-line and back-office employees is expected to change in 2025 and how companies are responding to the economic environment (a \$395 value).

Looking ahead to 2025, a smaller proportion of companies expect material (>5 percent) base salary increases for their CEOs and senior executives, compared to 2024. 61 percent of companies expect to increase their CEO's base salary in 2025, down from two-thirds of companies that implemented such an increase in 2024. Meanwhile, 78 percent of companies plan to increase their senior executives' (other than the CEO) base salary in 2025, slightly down from 82 percent in 2024.

Expected Base Salary Changes in 2025, By Job Title

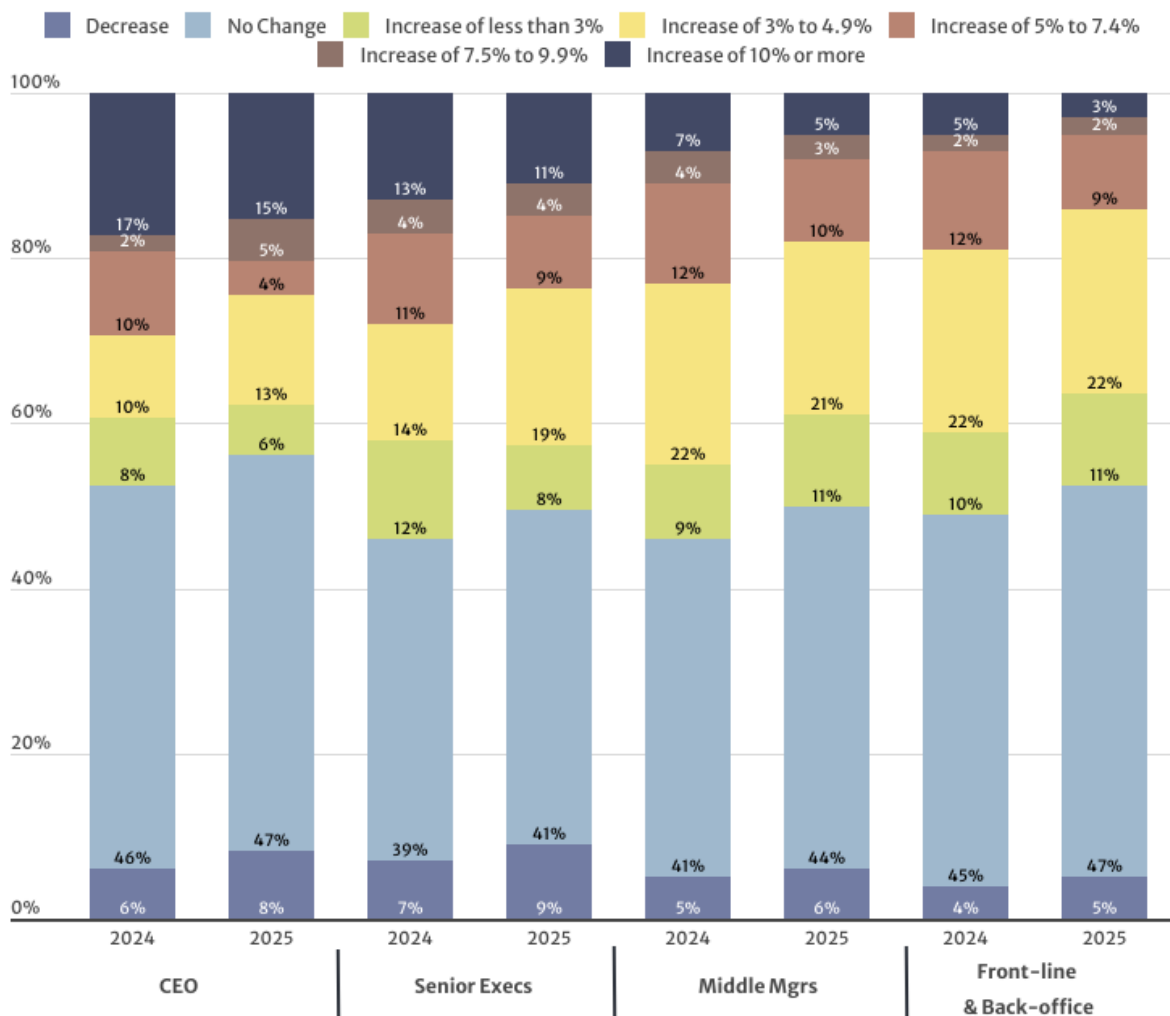


Source: CEO & Senior Executive Compensation Report for Private Companies, Chief Executive Group, CompReport.ChiefExecutive.net

Base salaries rarely decrease year over year, except in drastic situations such as during the Covid-19 pandemic. Yet, some companies—albeit a very small minority—report lower average salaries in 2025 compared to 2024. We believe the reason behind this finding is that these companies have replaced higher-salaried workers with alternative options (e.g., replaced some tenured employees with less experienced employees or contractors) or reconfigured compensation plans—rather than implementing a base salary cut for a specific person.

Bonuses tend to be much more volatile than base salaries, as they are often connected to achieving specific financial targets (which get harder to achieve with economic headwinds). Most companies (55 percent) don't expect to increase their CEO's bonus in 2025; however, of those who do, 35 percent expect it to be by at least 10 percent. In 2024, that proportion was around 37 percent. Far fewer employees below the CEO are expected to receive high bonus increases in 2025, with approximately 50 percent of each title expected to see no increase in their bonus, compared to around 40 percent who saw no increase the year prior.

Expected Bonus Changes in 2025, By Job Title



Source: CEO & Senior Executive Compensation Report for Private Companies, Chief Executive Group, CompReport.ChiefExecutive.net

The 2025 compensation trends special report included with the purchase of the 2024-25 CEO & Senior Executive Compensation Report for Private U.S. Companies also explores forecasted base salary and bonus changes in 2025 across job titles by revenue ranges, ownership type, industry, region, level of profitability, revenue growth rate and labor market.

Compensation Best Practices

Compensation is a strategic tool that can be used to align a company's most important talent with the overall business strategy. Properly crafted, an executive compensation plan can help attract top-notch talent, retain best-performing executives, motivate the leadership team to succeed and align their activities to help ensure the company's goals are being reached.

The best-performing companies use incentive-based compensation to achieve their goals. However, still, around half of U.S. private companies do not have a formal long-term incentive plan. And among companies that do, only 20 percent use performance-based vesting (vs. time-based vesting—or both). Further, more than half of private companies do not have their company's equity value appraised at regular intervals, meaning senior executives often have a limited sense of what their equity-linked incentives are truly worth.

Based on our comprehensive research, most private companies spend a significant amount of money on executive compensation, but many are not spending it optimally as a strategic tool. There is great leverage in refining one's executive compensation programs to align key executives' incentives for outstanding vs. average performance.

For More Information

More detailed information (including quartiles) on base salaries, bonuses, equity grants and gains, benefits, perks and company compensation policies and practices, as well as how these elements vary by company size, industry, ownership type, geographic region and other key variables, is available in the full report at ChiefExecutive.net/CompensationReport.

As a survey participant, you are entitled to a \$1,500 credit toward the purchase of the 2024-25 report at list price and the pre-order of the 2025-26 report. To order your copy, use coupon code **Compinsider1500** at checkout on ChiefExecutive.net/CompensationReport or contact our research team at research@ChiefExecutiveGroup.com. This offer is valid until August 1st, 2025.

Thank you, again, for participating in this important study, the most comprehensive survey of executive compensation in private companies in the U.S.